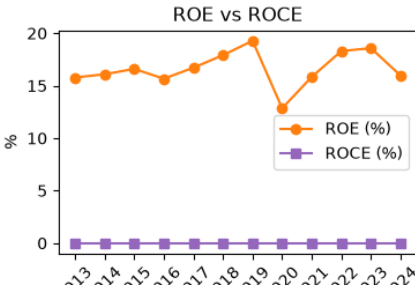
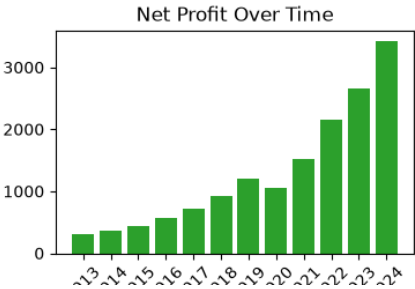
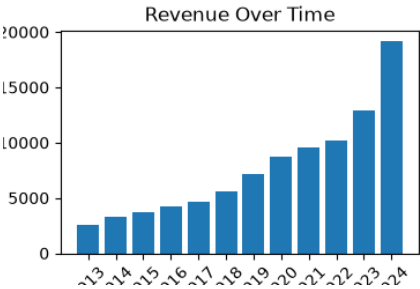


Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Revenue Rs. 19163 Cr	Net Profit Rs. 3420 Cr	ROE 16.0%
ROCE 0.0%	D/E Ratio 7.38	Asset Turnover 0.11



Financial Deep Dive & Insights



Capital Allocation Pattern: 7: Start-up / High Growth

Strengths (Pros)

- Company has strong Return on Equity of 16.0% ($\geq 15\%$).
- Company has delivered good revenue growth of 21.9% CAGR over last 5 years.
- Company has delivered strong profit growth of 23.4% CAGR over last 5 years.
- Company maintains a healthy net profit margin of 17.9%.
- Company has strong interest coverage ratio of 19.1x.
- Company is a Nifty 100 constituent, signifying size and liquidity benchmark status.

Weaknesses (Cons)

- Company has low Return on Capital Employed of 0.0% ($< 10\%$).
- Company has negative Free Cash Flow of ■-38538 Cr.
- Company has elevated debt-to-equity ratio of 7.38x.
- Company shows poor asset utilisation with Asset Turnover of 0.11x.
- Company's FCF Conversion of -11.27x suggests poor cash realisation from profits.
- Stock valuation incorporates a premium that may limit near-term upside.